

25PR00563 Estate of Louise C Hernandez

County: santa-barbara

Division: Decedent's Estate

Department: 2 SM-Cook

Hearing date: 2026-09-01

Motion: Petition for Final Distribution

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Tentative Ruling: Estate of Louise C Hernandez

Case Number

25PR00563

Case Type

Decedent's Estate

Hearing Date / Time

Tue, 09/01/2026 - 09:00

Nature of Proceedings

Petition for Final Distribution

Tentative Ruling

Probate Notes:

The following must be submitted:

Supplement re: High Reserve. Petitioner requests \$2,000 for a reserve amount, without explanation. Please submit supplement explaining the need for the reserve, and whether it can be realistically lowered.

The amount requested, without further explanation, creates a presumption that the estate is not in a condition to be closed, which must be overcome by evidence showing the reserve is justified and need not delay distribution of the estate. The following is from a well-respected treatise on this issue:

Although not required, it is advisable to include an estimate of closing expenses. Examples of estimated closing expenses include any estate taxes, interest, and penalties that will be paid after distribution; the cost of preparing final income tax returns for the estate; the cost of transferring securities to the distributees; the cost of reasonable storage, delivery, and shipping for distribution of tangible personal property to the distributees; and the cost of certifying and recording copies of the decree of distribution of real property. See Prob C §§11642, 11750, 11753–11754. Some courts require more detailed information about the nature and amount of the anticipated closing expenses. See, e.g., San Francisco Ct R 14.35(l)(3).

The personal representative may also wish to retain funds for any undisclosed or unknown liabilities, especially tax deficiencies later assessed against the decedent or the estate. Apart from the reserve for estate taxes, there are some drawbacks to setting the reserve aside specifically for possible future tax deficiencies. Such action indicates—especially if the reserve is a substantial one—misgivings about the validity of the estate's position. The reserve might also be considered a trust fund for payment of the taxes, thus extending the statutory period for assessment. See *U.S. v Rose* (3d Cir 1965) 346 F2d 985, 989.

In addition, if the personal representative requests that the court allow for a substantial reserve (or even a reserve of more than \$5,000), some courts will refuse to characterize the distribution as "final" and will require additional accounts (or waivers) before permitting distribution of any balance of the reserve. For example, in Contra Costa County, the court will not characterize the distribution as final if the personal representative requests more than a nominal reserve. If the entire estate will be distributed to a single beneficiary, such as a trust established during the decedent's lifetime, a reserve may not be necessary.

(Cal. Dec. Est. Pract. (CEB 2023), §31.66.)

Accordingly, if the probable tax liability of the estate is so high as to require the requested amount in reserve, it is recommended the Court deem this estate not to be in a condition to be closed. At the very least, the Court should require a final accounting and petition for distribution be set a reasonable time after the last year's tax liability is due.

If the documents curing these deficiencies are not processed by 8:00 a.m. on August 31, 2026, it is recommended that the matter be continued to a date to be set by the Court at the hearing, unless the party appears and requests a different date, or submits a request for a different continuance date prior to the hearing. (Local Rule 1721(c)(2)(A-B).) If the matter is continued, documents must be submitted at least 10 days prior to the new hearing date to be considered.

Due to staffing limitations, processing times may be delayed. To assist in processing, attorneys and parties should include the next court date in the "Filing Description" field provided by the electronic service provider. That field is also used for further descriptions of the document being e-filed, so be sure to put the calendar date FIRST in the field – BEFORE any further description of the document being e-filed (e.g.: 06/28/16 For XYZ).

Judges

Judge James F. Rigali

Dept. 2 SM-Cook

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